

Sufficiency of Allegations

A.

Breach
of Contract

Cross-Complainant fails to allege sufficient facts for breach of contract. The elements of this cause of action are: "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.) "A written contract may be pleaded either by its terms—set out verbatim in the complaint or a copy of the contract attached to the complaint and incorporated therein by reference—or by its legal effect. [Citation.] In order to plead a contract by its legal effect, plaintiff must 'allege the substance of its relevant terms. This is more difficult, for it requires a careful analysis of the instrument, comprehensiveness in statement, and avoidance of legal conclusions.' " (McKell v. Washington Mutual, Inc. (2006) 142 Cal.App.4th 1457, 1489.)

Here, Cross-Complainant does not adequately allege the existence of a contract. He alleges the independent contractor agreement is attached to the FAXC, but it is not. (See FAXC, ¶ 11.) Cross-Complainant concedes this fact in opposition. (See Opp., at p. 4.) The Court will grant Cross-Complainant leave to amend to properly attach the contract to the pleading.

B.

Fraud

"The elements of fraud are (a) a misrepresentation (false representation, concealment, or nondisclosure); (b) scienter or knowledge of its falsity; (c) intent to induce reliance; (d) justifiable reliance; and (e) resulting damage." (Hinesley v. Oakshade Town Ctr. (2005) 135 Cal.App.4th 289, 294.) The facts constituting the alleged fraud must be alleged factually and specifically as to every element of fraud, as the policy of "liberal construction" of the pleadings will not ordinarily be invoked. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.)

The Cross-Complainant sufficiently alleges all elements of fraud. The FAXC states that Rank made a misrepresentation on or about September 2, 2025 when he represented he was "uniquely qualified and available to generate business leads for Cross-Complainant for a minimum period of one

year.” (FAXC, Second Cause of Action, ¶ 2.) It alleges that Rank knew the representations to be false, because he intended to obtain the \$20,000 advance and then quit. (Id., ¶ 3.) Further, the FAXC alleges that he made these misrepresentations to induce Cross-Complainant's reliance, that Cross-Complainant relied on the representations, and the resulting damages. (Id., ¶¶ 5-7.) This is sufficient at the pleading stage to state a claim for fraud.

Cross-Complainant's Request for Punitive Damages for Breach of Contract

Cross-Complainant requests punitive damages under its breach of contract cause of action. (Id., ¶ 19.) No such relief can be afforded for breach of contract. (Civ. Code § 3294.) Cross-Defendant did not raise this issue in its demurrer or by motion to strike. If Cross-Complainant includes a request for punitive damages as part of its amended cross-complaint, and if Cross-Defendant does not raise the issue on its own, the Court notifies the parties that it may, pursuant to its authority under Code of Civil Procedure section 436, strike the request for punitive damages from the amended cross-complaint's cause of action for breach of contract.

Disposition

Plaintiff/Cross-Defendant Leo Rank's demurrer to Defendant/Cross-Complainant HR Renovations Inc.'s first cause of action for breach of contract in the FAXC is sustained with 21 days' leave to amend. It is overruled as to the second cause of action for fraud.